

Diageo plc Corporate Governance and Capital Budgeting

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Abstract

This report evaluates the quality of the corporate governance and the capital structure of Diageo plc. Besides, it performs an evaluation of the proposed investment project using three standard valuation methods. The governance review revealed a board with a strong independence and diversity, consisting of 80% independent directors, about 70% female representation, fully independent key committees, and high meeting attendance almost throughout. The separation of roles between Chair and CEO, the high scores in governance and disclosure, as well as the dispersed structure of institutional ownership collectively uphold solid accountability and effective monitoring. Nevertheless, changes in governance appear to be only incremental rather than transformational, and the intricacy of performance-based compensation causes that there are still some agency risks related to the alignment of long-term incentives.

The assessment of the capital structure over the fiscal years 2020–2024 reveals a generally balanced statement of financial position which is mainly financed by long-term debt, with a moderate level of leverage (Debt/Equity around 1.4–1.5x) and a good interest coverage which is always more than six times. Relative to its peers, Diageo is the largest and financially most robust company in its group, with average valuation multiples and a moderate beta. The project generates a positive NPV of £905.21 million, an APV of £908.72 million, and an FCFE equity value of £819.60 million, if we use the WACC provided (8.4%). The close match of the valuations based on enterprise and the supportive equity result is a firm acceptance of the project, which is expected to create shareholder value under a prudent risk and governance framework.

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Introduction

This report unfolds Diageo Plc through its governance structure and capital structure, which are two major aspects that govern the company's financial decisions, and further, a comprehensive assessment of the proposed investment through three different valuation approaches. The scrutiny focuses on how the company's good governance, financing options, and risk profile help Diageo in controlling agency problems, sustaining financial stability, and creating long-term shareholder value.

The initial part of the report reviews the corporate governance of Diageo, the composition of the board, independence, the effectiveness of the committee, separation of leadership, quality of disclosure, and shareholder rights. Using data from Bloomberg and the disclosures in the Diageo annual reports, it depicts a broadly robust governance system that aligns well with UK best-practice standards. Effective oversight is facilitated by high independence, transparent reporting, and dispersed institutional ownership, which also help in the reduction of agency conflicts. However, the study has pinpointed some aspects in which governance transition is still at a gradual stage, especially regarding the sophistication of performance-based remuneration structures, hence, there is a need to continually monitor the alignment of incentives.

The subsequent section of the report elaborates on the capital structure details of Diageo from FY2020–FY2024, a comparison of the peers within the global spirits sector, and a firm's weighted average cost of capital (WACC) interpretation. The evaluation of past financial performance reveals that the company has kept a healthy balance sheet, low leverage, and has been able to cover its interest charges well, while conducting peer analysis, Diageo is ranked as the largest and most financially stable company of the group. These features are vital for the valuation of the planned project.

At last, the report appraises the project through WACC, APV, and FCFE techniques. The valuation signals from all three methods are in agreement and are positive, hence, the investment should be made. The elements of governance quality, financial structure, and value creation potential at Diageo are integrated through these analyses.

Part 1: Corporate governance analysis

A.1 Board Composition & Structure

The board of directors of Diageo consists of ten members, out of which 80% are independent directors and 70% are females. Such a great level of independence enhances the board's monitoring function and lowers the possibility of any conflicts between the shareholders and the managers which belong to the agency theory. The efficient oversight and accountability mechanisms are sustained by the board's small size (Diageo plc, 2024; Fuzi et al., 2016).

A.2 Board Committees

Independence of all three main committees (Audit, Nomination, and Remuneration) is maintained at 100%, thus the most important oversight functions such as financial reporting, director appointments, and deciding on the executive pay are free from any conflicts. The rates of participation in committee meetings are always above 93% (Audit 94.44%, Nomination 93.88%, Remuneration 95.4%), which reflects the directors' strong engagement in governance activities. Such a setup deepens accountability measures and lessens the risk of management takeover of the given sensitive governance processes (Diageo plc, 2024; Fuzi et al., 2016).

A.3 Leadership Structure & CEO Duality

The company Diageo separates the roles of CEO and Chair which means that one person is not allowed to hold both positions simultaneously. This separation boosts the independence of the board as the Chair can give a neutral check-up on the executive's performance without having managerial responsibilities which are conflicting. By reducing the agency risks related to giving too much power to an executive, the structure improves the accountability mechanisms (Diageo plc, 2024; Fuzi et al., 2016).

A.4 Executive Compensation

Diageo's compensation disclosures are detailed enough to allow shareholders to effectively oversee the structures of executive pay and how it is linked to performance. The performance-based element of the pay structure goes a long way in lessening agency risks by correlating the rewards with the results, however, the effectiveness of this measure still depends on whether or not there will be an ongoing match between the incentive design and long-term value creation (Bebchuk & Fried, 2003; Diageo plc, 2024).

A.5 Bloomberg Governance Ratios

According to Bloomberg, the governance pillar score increased slightly from 7.64 in FY 2022 to 7.78 in FY 2023, thereby indicating that the governance practices were stable and improved slightly. The score level is in line with the observed high board independence and committee effectiveness, thus indicating that the structures of accountability are strong. The slight year-over-year increase mainly

points to the fact that the quality of governance has been maintained instead of there being significant changes in the structure (Bloomberg L.P., 2024).

A.6 Overall Governance Structure Assessment

The governance system of the company Diageo puts in place strong mechanisms of accountability which in an effective way help to resolve the agency conflicts that occur between the management and the shareholders. The small improvement of the Bloomberg governance score from 7.64 to 7.78 is an indication of stability in oversight practices with only a few changes in the structure. There is still a need for continuous investigation concerning the executive incentive alignment to be sure that governance remains as effective as it has been and that it protects shareholder value in the long run (Bloomberg L.P., 2024; Diageo plc, 2024).

B.1 Disclosure Quality & Transparency

Diageo obtains an 85.5 score on the Bloomberg governance disclosure that is indicative of its governance reporting transparency of a very high standard, thus minimizing information asymmetry and enabling effective shareholder oversight. The annual report disclosures that are comprehensive provide the necessary support for the implementation of the accountability process as the stakeholders are given sufficient details to monitor the board's effectiveness and evaluate possible agency risks (Healy & Palepu, 2001; Diageo plc, 2024).

B.2 Shareholder Engagement & Rights

Diageo's ownership structure features mostly institutional shareholders with no single dominating shareholder as the top three shareholders (BlackRock 5.89%, Capital Research 4.99%, MFS 4.99%) are holding minority stakes. Such a distribution of ownership lowers the chances of minority shareholder oppression by the controlling investors and, therefore, encourages fair treatment of all shareholders. Publishing the shareholder's structure in the annual report in a transparent way makes it easier for investors to monitor and be held accountable (Diageo plc, 2024).

C.1 Audit Committee Role & Independence

Completely free from conflicts of interest, the Audit Committee that is 100% independent is in a position to oversee the financial reporting process and it can also deliver on other tasks like monitoring the internal control system by strengthening it. The attendance at the meetings was 94.44% and this is an indicator that the members of the committee were constantly involved in the execution of their governance duties and this therefore lessens the risk of financial disclosures and external audit processes not being properly scrutinized (Diageo plc, 2024).

E.1 Governance Quality and Financial Outcomes

Diageo's governance system puts in place mechanisms of accountability and

oversight that are effective in addressing agency risks that arise from the relationship between management and shareholders. The improvement of the Bloomberg governance score from 7.64 to 7.78 is an indication of the stability of governance practices with small rather than significant changes to the structures. Such stability not only facilitates regular monitoring but also limits governance as a source of major competitive advantage and performance differentiation (Bloomberg L.P., 2024).

E.2 Compensation Alignment and Performance

Performance-based incentive systems are a great way of ensuring that the executives' actions are in line with the interests of the shareholders as it ties the executives' rewards to the outcomes. Open compensation disclosure makes it possible for shareholders to be on the lookout for pay practices without any difficulty. The watch on the design of the incentives should still go on in order to be sure that there is a continuous match between the incentive and the shareholder value goals (Bebchuk & Fried, 2003; Diageo plc, 2024).

E.3 Agency Problems and Performance Risks

Diageo's governance framework features robust measures to overcome the typical agency conflicts arising from the company's independence and ownership structure being widely dispersed. However, residual agency risks remain latent in the intricacies of performance-based compensation schemes, which need constant vigilance to ensure they continue to be in line with shareholder interests. The gradual nature of governance improvements limits the system's potential as a driver of not only radical but also incremental enhancements in accountability mechanisms.

E.4 Critical Evaluation

Diageo's governance system is characterized by strong accountability structures that successfully alleviate agency conflicts and facilitate shareholder oversight. However, the pace of governance evolution being gradual and the complexity of incentive schemes both point to the system's limited capacity to serve as a source of competitive differentiation or a transformative oversight enhancement. The governance framework, on the whole, lays down the groundwork for accountability but shows limited progress in taking governance beyond the set standards.

Part 1: Conclusion and Recommendations

Diageo's governance framework puts in place strong mechanisms of accountability which in an effective way help to resolve the traditional agency conflicts. The main limitation is that governance is developed incrementally and there is also a complexity factor when it comes to performance-based compensation alignment. The major agency issue is the assurance of continuous

alignment between executive incentives and shareholder interests through regular monitoring of incentive structures.

Diageo can implement regular independent reviews of the board's effectiveness in order to propel governance getting better rather than just being at the level of incremental development. The Remuneration Committee can enhance transparency through simplifying executive compensation structures and thereby reinforcing the shareholder capability to assess the degree of incentive alignment.

Part 2: Capital budgeting and valuation with leverage

2.1(A) Historical capital structure levels

Diageo's balance sheet illustrates the company's asset base to be fairly consistent over FY2020-FY2024, with total assets generally hovering around the £3.2-3.6 billion mark. After a decline in assets in FY2021, there was a sharp rise in FY2022, and the assets stayed at a similar level afterwards, closing at £3,597.1 million in FY2024 (see Table 2.1; Appendix A1). Total liabilities mirrored this behavior and went up and down around the £2.1-2.3 billion range, hitting £2,307.8 million in FY2024. The equity showed more fluctuations, dropping from £1,228.1 million in FY2020 to £1,090.4 million in FY2021 and then increasing year after year up to £1,289.2 million in FY2024. The averages over five years for assets, liabilities, and equity demonstrate the overall consistency of the company's capital structure during the period (Diageo plc, 2024; Bloomberg L.P., 2024).

Table 2.1. Historical capital structure snapshot (selected years, £m)

Year	Total Assets	Total Liabilities	Total Equity	Long-term Debt	Short-term Debt	Net Debt
FY2020	Within £3.2–3.6bn range	Within £2.1–2.3bn range	1,228.1	Above £1.28bn	£210–285m range	1,338.7
FY2024	3,597.1	2,307.8	1,289.2	1,472.6	£210–285m range	1,583.3

The changes in the interest-bearing debt portfolio showed that the majority of the debt was long-term. The long-term debt was always more than £1.28 billion and it went up slowly to £1,472.6 million in FY2024, while the short-term debt was quite low and kept changing between £210–285 million. This constant dependence on longer-term debt shows that they were taking a steady approach to the maturity structure of their borrowings. The net debt went down from £1,338.7 million in FY2020 to £1,185.7 million in FY2021, and then it was on the rise all the way to £1,583.3 million in FY2024. So, net obligations were initially reduced and then the net debt levels were increased. In general, historic levels indicate that Diageo has been able to grow its assets with a mix of long-term borrowing and internally generated equity while keeping a generally stable capital structure over the five years period (Diageo plc, 2024; Bloomberg L.P., 2024).

2.1(B) Leverage and coverage ratios

The leverage ratios point to a gradual decrease of balance sheet gearing during the period, with Debt/Assets and Debt/Equity both going down from their FY2020 levels and getting closer to their respective five-year average levels by FY2024 (see Table 2.2 for summary ratios). This behavior is indicative of a move towards a more balanced capital structure that is characterized by a lower proportion of debt financing relative to both assets and equity. Even though the absolute ratios are still in line with a debt-supported financing profile, the observed moderation signals an increase in balance sheet flexibility and a lower risk of operating performance changes affecting the company. The Debt/Equity decreasing trend is especially important, as it shows that the difference between the debt and equity claims is getting smaller, thus alleviating the future funding decisions and creating the possibility of using the freed resources to cushion the fluctuations in operating cash flows (Diageo plc, 2024; Bloomberg L.P., 2024).

Table 2.2. Leverage and coverage ratios (approximate positioning)

Metric	FY2020 (approx.)	FY2024 (approx.)	Five-year profile (qualitative)
Debt/Assets	≈ 0.50	mid-0.40s	Gradual decline from around 0.50 toward mid-0.40s
Debt/Equity	≈ 1.5x	≈ 1.4x	Slight reduction in gearing over the period
Net Debt/EBITDA	just below 3.0x	just above 3.0x	Around 3.0x, with limited year-to-year variation
Interest Coverage	> 6.0x	> 8.0x	Consistently > 6.0x, with a notably higher FY2024

The Net Debt/EBITDA path is an additional source of information when evaluating the company's ability to meet its obligations. Five-year-average-relative values point to net debt being generally in line with earnings capacity and the overall range being an indication of the stability of the relationship between operational leverage and performance. The whole set of results thus points to the existence of a strong earnings resilience for the company, and the interest coverage ratios that are always higher than six and are especially strong in FY2024 serve as a confirmation of this. The final combined leverage and coverage profile is consistent with the practice of balancing the advantages that

debt financing brings with keeping the financial risk at a conservative level, thus leaving the firm with a sufficient margin before any possible signs of distress (see Table 2.2; Appendix A2; Diageo plc, 2024; Bloomberg L.P., 2024).

2.1(C) Peer comparison

The peer comparison demonstrates that Diageo is the largest company among its competitive set as both the market capitalisation and the enterprise value are way above those of Pernod Ricard, Campari, Marie Brizard, and Rémy Cointreau (see Table 2.3). Such a scale of operation puts Diageo at the top of the industry in terms of financial strength and balance sheet resilience, hence the background for its capability to arrange long-term financing options. Differences in EV/EBITDA also serve as a tool for additional interpretation: the Diageo multiple is quite similar to that of Pernod Ricard and is lower than that of Campari which is considerably higher, thus putting the company close to the middle of peer valuation levels. This is in line with Diageo having a more or less stable earnings profile as compared to the other companies in the group, but at the same time not extending into the high range of the highest multiple of the group.

Table 2.3. Peer comparison – relative scale and valuation positioning

Company	Relative market capitalisation	Relative enterprise value	EV/EBITDA positioning
Diageo	Largest in peer group	Largest in peer group	Mid-range multiple
Pernod Ricard	Large, below Diageo	Large, below Diageo	Similar to Diageo
Campari	Mid-sized relative to Diageo	Mid-sized relative to Diageo	Higher multiple than Diageo
Marie Brizard	Smallest in the peer set	Smallest in the peer set	Negative / weak valuation signal
Rémy Cointreau	Mid-sized relative to Diageo	Mid-sized relative to Diageo	Below the highest multiple in group

Systematic risk metrics confirm this relative ranking. Diageo's beta is closer to the low value for Marie Brizard than to the slightly higher values for Campari and Rémy Cointreau, meaning that it has a moderate level of vulnerability to wider

market changes (Fama & French, 1993; Bloomberg L.P., 2024). Large size, medium-range valuation multiples, and a beta that is neither very defensive nor very cyclical characterize Diageo as a balanced, fairly stable peer in the sector. The comparison with peers thus makes it easier to interpret the capital structure of Diageo and acts as a convenient starting-point when moving on to the cost of capital and project valuation in the next sections.

2.2 WACC Interpretation

The 0.084 WACC given in the project valuation model is the required return for project evaluation and serves as the hurdle rate for the expected cash flows. Since this number is provided directly, the main point is understanding the parts that make up the number rather than recalculating it, and recognizing how these factors depict the firm's overall financing environment. In brief, the main WACC inputs are given in Table 2.4

Table 2.4. Core WACC inputs

Parameter	Value
WACC	0.084
Cost of equity (r_e)	0.101
Cost of debt (r_d)	0.042
Corporate tax rate	0.25
Equity weight (W_e)	0.72
Debt weight (W_d)	0.28
Levered beta	0.78
Risk-free rate (r_f)	0.044263

The equity cost of 0.101 is the return required by shareholders for the risk that affects the whole market (Fama & French, 1993), while the beta of the levered stock of 0.78 is an indication of a moderate sensitivity of the systematic component. When combined with the risk-free rate of 0.044263, these factors set shareholders' expectations at a level that is compatible with a stable, mature company scenario. As for the debt, the cost of debt of 0.042 is a reflection of what the lenders require in return, and if we look at the corporate tax rate of 0.25 at the same time, we can see that interest deductibility is the main reason for

debt financing incentives without the need for some additional calculations (Graham, 2000). The capital structure weights of 0.72 for equity and 0.28 for debt tell us that the equity financing is the main source of the company's funds, which is in line with the steady leverage profile that has been going on historically as shown in Section 2.1. These percentages decide which party (equity or debt) will have more say in the composition of the discount rate that is the weighted average of the two.

By combining all these data, a risk-adjusted reference point in the form of a WACC of 0.084 is created which summarizes both the company's exposure to systematic risk and its choice of the financing sources mix. This value is the basis for the valuation operations in Section 2.3 and determines the way the project's expected results will be compared with the investors' return requirements.

2.3 Valuation (WACC, APV, FCFE)

The project's worth is gauged through three tried and tested methods: the WACC-based NPV technique, the Adjusted Present Value (APV) framework, and the Free Cash Flow to Equity (FCFE) approach. Each of these methods is a direct reference to the cash flow forecasts and the discounting parameters used in the Excel model, and all the figures mentioned are the exact ones from the respective valuation sheets without any recalculation (Author's calculations based on Diageo plc, 2024, and Bloomberg L.P., 2024). These different viewpoints combined, provide a deep and multi-layered understanding of the project's economic feasibility and the effects of its financing structure. The main indications are presented in Table 2.5.

Table 2.5. Valuation summary (WACC, APV, FCFE, £m)

Method	Component	Value (£m)
WACC	NPV	905.21
APV	Unlevered NPV	905.21
APV	PV of tax shields	3.51
APV	Total APV	908.72
FCFE	Equity value	819.60

The WACC valuation is the first instrument for the performance assessment that leads to a net present value of £905.21 million. This result is the value today of the expected cash flows for the time to come, which are discounted at a rate that

reflects the company's blended cost of capital and thus accounts for both operating risk and financing mix in one single hurdle rate. To understand such a result one has to realise how the WACC combines the firm's exposure to systematic risk, which is mirrored in the cost of equity and levered beta, with the economic effects of debt financing being represented by the cost of debt and capital structure weights. From this combined viewpoint, the project is consistent with a stable historical financing environment, as the earlier parts have shown a roughly equal mix of debt and equity financing and a moderate overall risk level. Thus, the positive NPV implies that, under the condition of the firm's risk-adjusted required return, the project is expected to deliver extra value over its opportunity cost. However, the method, by integrating risk and financing, provides a comprehensive but less detailed account of how the different financing channels contribute to the total project value.

The APV approach breaks down these effects, showing an unlevered NPV of £905.21 million and the present value of tax shields at £3.51 million, thus giving a final APV figure of £908.72 million. The method, by separating the core business value from the financing adjustments, makes it clear that the contribution of tax deductibility as a separate and new source of value is the largest one. The framework employed here enables the observers to see more clearly how operational cash flows thrive independently of the capital structure, and how financing decisions alter the overall project value. In theory, this separation is helpful when one takes into account the stability of the operating fundamentals that were pointed out in the previous sections, because it doesn't mix the financing terms directly into the discount rate (Myers, 1974). So, APV provides more insight into the components that generate value than WACC does, however, both methods are ultimately based on the same cash flow projections. The very close match between the two valuations indicates that, in this instance, the tax shield only slightly increases the unlevered base value.

The FCFE evaluation moves the emphasis from the firm's value to the returns that go solely to the equity holders, thus coming up with an equity valuation of £819.60 million. This metric is the present value of the cash flows left after the necessary financing activities have been taken into account, such as interest payments and debt issuance or repayment. Hence, it is the viewpoint of the residual claimants that is captured here rather than that of the entire firm. From a conceptual point of view, the FCFE model is different from WACC and APV in that it uses a discount rate that is in line with the shareholders' required return. Instead of a blended or unlevered rate, this makes FCFE much more susceptible to the effects of leverage and interest commitments on equity cash flows both in terms of magnitude and volatility (Ross, 1977). While it is helpful in illustrating the distributional effects of the financing decisions, due to its narrower perspective, it can be different from enterprise-based valuations, especially when leverage is a significant factor in equity outcomes. Therefore, the resultant equity value should

be considered in reference not only to the financing profile but also to the risk that the shareholders bear specifically (Myers & Majluf, 1984).

Comparing the results highlights the differences in concepts for methods used. Valuations using WACC and APV, with values of £905.21 million and £908.72 million respectively, are very close as they both mainly rely on the same cash flows from operations and only vary in the way financing is factored in. The small difference is due to APV pinpointing the tax shield effects instead of them being intermixed in the discount rate. On the other hand, the FCFE valuation of £819.60 million is lower which is a consequence of an equity-focused perspective and financing obligations leading to a decrease of the cash flows available to shareholders. Such a difference points at how differently various stakeholders experience value and the reason why enterprise and equity valuations do not necessarily have to match. The three outputs, when combined, constitute a consistent valuation spectrum, which enables a thorough assessment of the project's feasibility under different analytical frameworks, at the same time being in line with the firm's past capital structure and risk profile. These valuation results pave the way for the final investment recommendation elaborated in Section 2.4.

Part 2: Conclusion and Recommendations

The project is supposed to be accepted as all three valuation methods show that it will create value at the level of return required by the firm. The valuation based on WACC results in NPV of £905.21 million. The APV method gives a similar value of £908.72 million, which reflects a small contribution of the financing effects on top of the unlevered base case. The FCFE valuation gives an equity value of £819.60 million, which is generally in line with the enterprise valuations when the equity-specific perspective and financing commitments are accounted for. So, the findings constitute a consistent and positive valuation band, thus strengthening the project's potential to generate economic value.

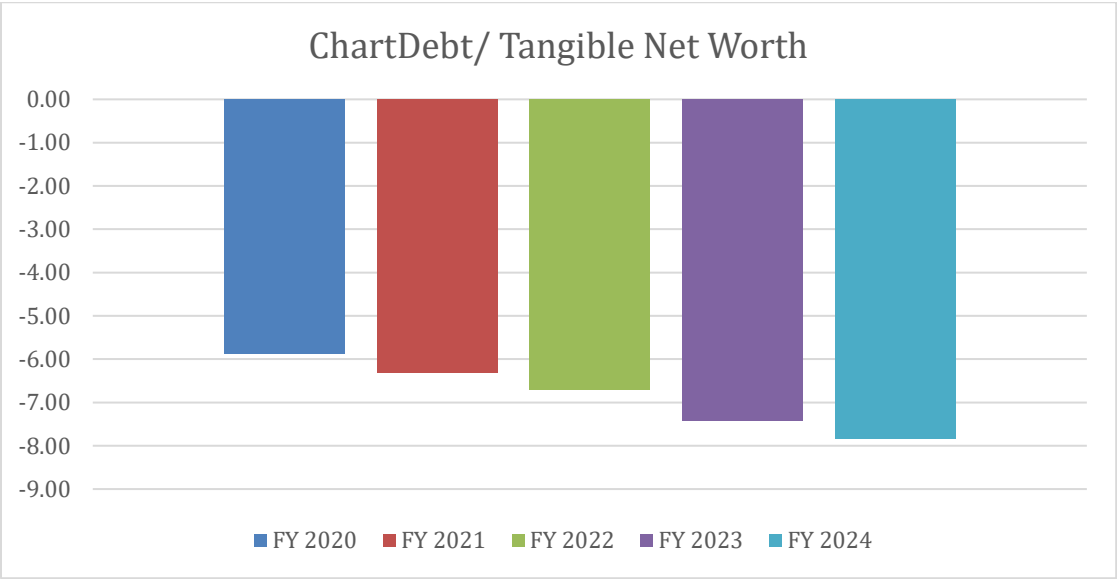
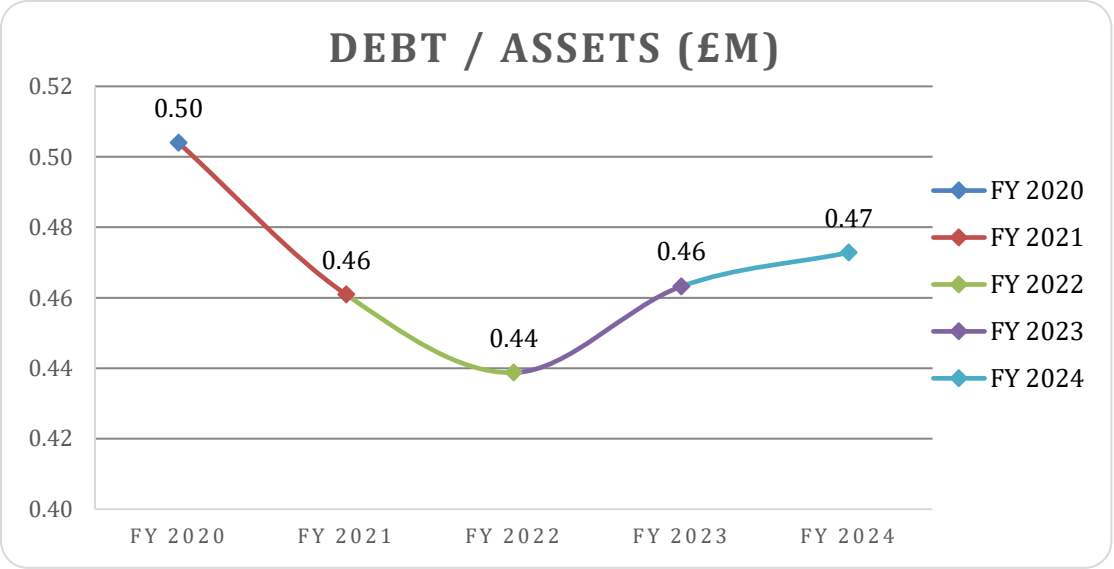
These results are also in line with the firm's moderate risk profile and stable financing structure, the risk-adjusted hurdle rate of 0.084 serving as a relevant benchmark against which to assess value creation. The fact that the project is able to generate this return under different valuation approaches is therefore a strong indication of its financial soundness. In sum, the corroboration across methods and the consistency with the firm's risk profile argue for the project to be a value-accretive investment worth pursuing

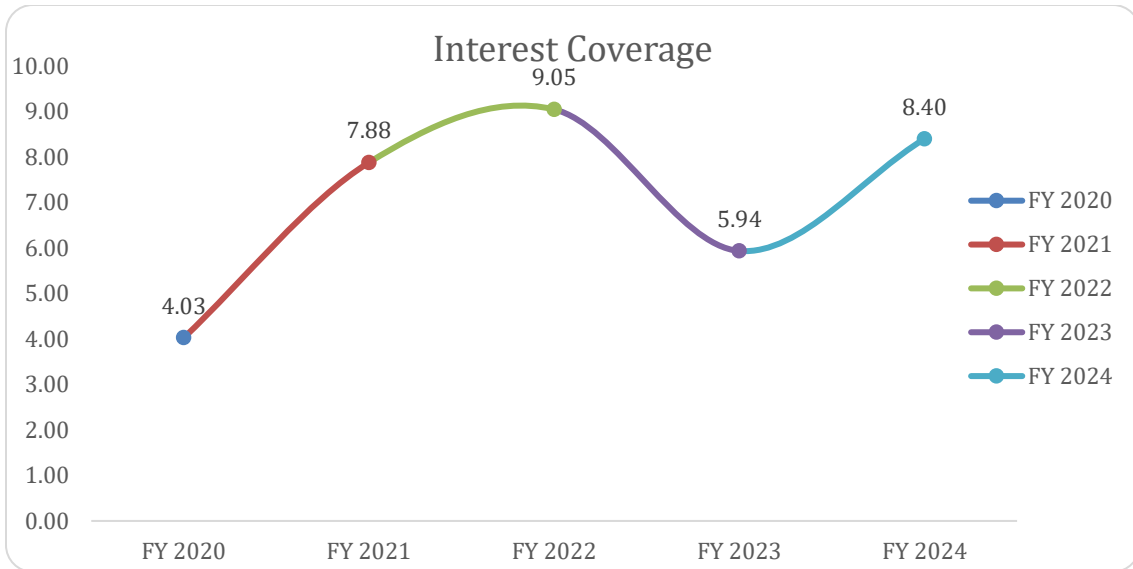
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Appendices

Appendix A1





Appendix A2

